(11) Income Taxes

The Company's provision for income taxes, as presented on its Statements of Operations for the periods presented, is attributable to foreign income taxes paid as a result of certain transactions with customers in foreign countries. The Company has no income tax provision, current or deferred, relating to U.S. federal, state or local income taxes.

A reconciliation of income tax expense to the amount computed by applying the Federal income tax rate to loss before provision for income taxes as of December 31, 2004, 2003 and 2002, is as follows:

	2004	2003	2002
Income tax credit at statutory rates	$(2,181,765)	$(1,971,201)	$(1,729,431)
Nondeductible expenses	9,084	31,348	5,419
Tax benefit of disqualifying dispositions of stock by employees	(683,900)	(405,459)	(38,060)
State income tax, net of federal benefits	(320,848)	(289,883)	(254,328)
Foreign income taxes	30,000	30,000	68,674
Other	24,429	40,195	(76,600)
Benefit of net operating loss and foreign tax credits not recognized, Increase in valuation allowance	3,153,000	2,595,000	2,093,000
	$ 30,000	$ 30,000	$ 68,674

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Deferred income taxes reflect the net tax effects of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for income tax purposes. Significant components of the Company's deferred income taxes consist of the following:

	As of December 31,	
	2004	2003
Deferred tax assets:		
Net operating loss carryforwards	$ 23,568,000	$ 20,441,000
Foreign tax credit carryforward	156,000	156,000
Inventory and other allowances	258,000	258,000
Excess (tax) book depreciation	(162,000)	(126,000)
Excess (tax) book amortization	16,000	—
Other accrued costs	114,000	68,000
Total deferred tax assets	23,950,000	20,797,000
Less: Valuation allowance	(23,950,000)	(20,797,000)
Deferred income taxes	$ —	$ —

The valuation allowance increased $3,153,000 for the year ended December 31, 2004 due principally to the increase in the net operating loss carryforward and uncertainty as to whether future taxable income will be generated prior to the expiration of the carryforward period. Under the Internal Revenue Code, certain ownership changes, including the prior issuance of preferred stock and

the Company’s public offering of common stock, may subject the Company to annual limitations on the utilization of its net operating loss carryforward.

The Company has net operating loss carryforwards for tax purposes of approximately $60,432,000 on December 31, 2004, which expire between 2005 and 2024.

As a result of certain transactions with third parties operating in foreign countries, the Company may be subject to the withholding and payment of foreign income taxes as transactions are completed. Under the Internal Revenue Code, foreign tax payments may be used to offset federal income tax liabilities when incurred, subject to certain limitations. On December 31, 2004, the Company has a foreign tax credit carryforward of $156,000.